

Situational AI™

A PUBLIC DECLARATION FOR A NEW FIELD OF AI

THE SITUATIONAL AI MANIFESTO

Situation as a First-Class Primitive of Intelligence

Intelligence begins with the situation.

PRASAD PILLAI

Author and Principal Architect
of the Situational AI Framework

Founder, BotsWork

Version 1.0 • 2026 • situational-ai.org

Origin and Authorship

The Situational AI framework presented in this manifesto—including the proposition that situation should become a first-class computational primitive—was conceived and developed by Prasad Pillai, founder of BotsWork.

The manifesto is intended to define an open field of inquiry. Researchers, engineers, cognitive scientists, designers, philosophers, operators, domain experts, and critics are invited to develop, test, challenge, and extend its ideas while preserving clear attribution to their origin.

Author	Prasad Pillai
Attribution	Author and Principal Architect of the Situational AI Framework; Founder, BotsWork
Canonical edition	The Situational AI Manifesto, Version 1.0 (2026)
Website	https://situational-ai.org

Preferred Citation

Pillai, Prasad. The Situational AI Manifesto: Situation as a First-Class Primitive of Intelligence. Version 1.0, 2026. <https://situational-ai.org>.

Intelligence Begins With the Situation

The world does not arrive as prompts.

It arrives as events, interruptions, conversations, changes, relationships, opportunities, obligations, risks, and signals. It does not identify the problem, select the relevant facts, explain why they matter, or specify what should happen next.

Before intelligence can solve a problem, it must recognize that a problem exists. Before it can pursue an opportunity, it must recognize that an opportunity has emerged. Before it can act appropriately, it must understand what kind of situation it is in, to whom that situation matters, and what the moment calls for.

Intelligence begins with recognizing the situation.

Reasoning Is Not the Beginning of Intelligence

Artificial intelligence has become remarkably capable of reasoning once it is told what problem to solve. Given a prompt, a model can explain, calculate, compose, plan, classify, retrieve, and generate. Given a goal, tools, and sufficient context, an agent can execute increasingly complex tasks.

But intelligence is not only the ability to solve a stated problem. It is also the ability to determine what is happening, why it matters, to whom it matters, what is changing, what is expected now, and whether to act, ask, wait, coordinate, or continue observing.

These questions arise before conventional reasoning begins. They define the problem that reasoning must address. A system may possess extraordinary knowledge and still fail to understand what matters now. The missing capacity is not simply more information. It is situation recognition.

Context Is Necessary. It Is Not the Situation.

Context matters. An intelligent system needs access to history, conversations, documents, relationships, goals, tools, constraints, and the current state of its environment. Context engineering improves what information a model receives.

But context is not situation.

Context asks: What information is available to the system? Situation asks: What does this information mean now, for this observer, and what does it call for?

Relevant information can be present without being organized into an understanding of what is happening. Context is the material from which situational understanding is formed. It is not the finished understanding.

Events, States, Intents—and Situations

An event is something that happened. A state describes how something currently is. Intent describes what an actor wants. None of these alone specifies why the conditions matter, to whom they matter, or what should happen next.

A situation is the meaning of events and state, interpreted from the perspective of an observer, relative to goals, responsibilities, relationships, time, uncertainty, and possible action.

Events happen. States persist. Context informs. Intents aim. Situations mean.

Consider an unpaid invoice. For the customer, the situation may be a temporary cash constraint. For the salesperson, it may be a relationship risk. For accounts receivable, it is a collection responsibility. For the CFO, it may signal deteriorating receivables. The event is shared. Much of the context is shared. But the situation differs because each observer occupies a different role, carries different responsibilities, and faces different consequences.

There Is No Situation Without Perspective

A situation is always a situation for someone—or for some system acting from a defined position. Two people can participate in the same interaction while occupying different situations.

Perspective is not a distortion that intelligence must eliminate. Perspective is one of the conditions that makes a situation intelligible.

A situationally intelligent system must know whose situation is being interpreted, what role the observer occupies, what the observer knows, which goals and responsibilities apply, what consequences matter, and how other observers understand the same conditions.

Intelligence is not merely producing one universal interpretation. It is recognizing how multiple perspectives coexist, reinforce one another, or come into conflict.

Modern AI Recognizes Situations Implicitly

Current AI systems already demonstrate forms of situation recognition. A coding agent notices that a test failed and investigates the relevant code. An email assistant recognizes that a message requires a reply. A conversational system notices confusion and attempts to clarify.

But their representations of situations are often implicit, temporary, and distributed across prompts, retrieved documents, workflow state, model weights, tool results, and transient reasoning.

Modern AI recognizes situations implicitly. Situational AI makes situations explicit.

An explicit situation states what the system believes is occurring, the perspective from which it is interpreting events, the signals supporting that interpretation, the goals and responsibilities that apply, the responses available, and the transition expected next.

Situation as a First-Class Computational Primitive

Computing systems have first-class representations for data, objects, events, states, goals, prompts, messages, tools, workflows, and memories. Situation remains largely hidden inside inference.

We propose that situation should become a first-class computational primitive.

A first-class situation can be represented, identified, compared, remembered, retrieved, revised, shared, disputed, evaluated, and connected to action and outcome.

Language models operate through tokens. Many control systems operate through states. Event-driven systems operate through events and triggers. We propose that a more general intelligent system should operate through situations.

Situation is to intelligent behavior what the token is to language modeling: a primitive through which a system organizes and transforms experience.

Situations Have Trajectories

A situation is not a static label. It emerges, develops, intensifies, weakens, resolves, recurs, divides, merges, or is reinterpreted as evidence changes.

Situational intelligence therefore requires more than classification. It requires understanding what produced the situation, what stage it has reached, what progression is expected, what signals indicate deviation, what intervention window exists, and what outcome would constitute resolution.

Intelligence is not only recognizing what is happening. It is recognizing where the situation is going.

Recognition Establishes a Field of Response

To recognize a situation is to understand what kinds of responses it makes appropriate.

The response may be to act, ask, wait, observe, escalate, coordinate, inform, protect, reassure, or reinterpret.

Not every event deserves action. Sometimes the intelligent response is to ask for missing information. Sometimes it is to wait for a transition already underway. Sometimes acting too early creates the failure the system was intended to prevent. Situational intelligence includes restraint.

Machines Need Situation Memory

Conventional memory preserves information. Situation memory preserves experience.

A situation memory connects what happened, what situation was recognized, from whose perspective, which signals supported the interpretation, what response was chosen, why it was chosen, what outcome followed, and what should be recognized differently next time.

A collection of facts is not experience. Experience connects perception, interpretation, decision, action, and outcome. This is the foundation of accumulated judgment.

From Semantic Space to Situation Space

Text embeddings capture patterns of semantic similarity. They help systems find documents or expressions that discuss related subjects. Situational AI proposes changing what gets represented.

Instead of embedding only language, we can attempt to represent the structure of a situation: actors, roles, relationships, goals, responsibilities, events, state, temporal stage, constraints, uncertainty, risk, available responses, and outcomes.

Semantic retrieval asks which descriptions are linguistically related. Situational retrieval asks which experiences share the same underlying dynamics.

A patient disengaging from treatment and a customer disengaging from a sales process share little vocabulary. Yet both may contain interrupted progression, declining engagement, a narrowing intervention window, and increasing risk of failure.

If machines can represent relationships among situations, experience may transfer across domains wherever situational dynamics are structurally similar.

A Situation-Centric Cognitive Architecture

Situational intelligence requires a continuous cognitive loop:

Sense → Detect → Interpret → Reason → Plan → Act, Ask, Wait, or Observe → Evaluate → Learn

Interpretation is the bridge. An event does not announce its meaning. A state does not specify responsibility. Context does not select the observer. Intent does not describe the complete world. The situation binds these elements into a form intelligence can use.

Situational AI Is a Research Program

The proposition that situation should become a computational primitive creates a field of inquiry. We must discover:

- How should a situation be formally defined and minimally represented?
- Which properties are observer-relative, and which remain invariant across perspectives?
- How do situations emerge, evolve, overlap, merge, divide, and resolve?
- Can a system maintain competing interpretations and recognize when it is wrong?

- Can situational embeddings retrieve structural analogies that semantic embeddings miss?
- Can situation memory produce learning without merely accumulating more text?
- Does an explicit situation layer improve timing, judgment, coordination, adaptation, and explanation?
- How should humans inspect, teach, correct, and govern situational understanding?

These are not details to be hidden behind a finished product. They are the work.

What We Believe

1. The world does not arrive as prompts.
2. Intelligence begins before reasoning—with situation recognition.
3. Context is necessary, but context is not situation.
4. Events, states, intents, and situations are distinct computational concepts.
5. A situation is meaningful relative to an observer.
6. The same facts can produce multiple legitimate situations.
7. Situations emerge, evolve, overlap, and resolve.
8. Recognition includes understanding what the moment calls for.
9. Sometimes intelligence acts; sometimes it asks, waits, or observes.
10. Memory should preserve situations, responses, and outcomes—not only information.
11. Experience can transfer wherever situational dynamics are analogous.
12. Situations should become explicit, first-class computational objects.
13. Situational intelligence should be inspectable, teachable, correctable, and accountable.
14. Making situations explicit can change how intelligent systems perceive, reason, coordinate, and learn.

An Open Invitation

Situational AI does not belong to one company, product, model, or architecture. It names a field of inquiry.

We invite researchers, engineers, cognitive scientists, designers, philosophers, operators, domain experts, and critics to help define it. Build representations. Propose architectures. Create datasets. Design experiments. Test the claims. Challenge the definitions. Find the limits.

The future of artificial intelligence will not be built only by giving machines more knowledge, larger context windows, or greater reasoning power.

It will be built by enabling them to recognize what is happening, understand why it matters, determine what the moment calls for, and learn from what follows.

Intelligence begins with the situation.

About the Author

Prasad Pillai is the author and principal architect of the Situational AI framework presented in this manifesto and founder of BotsWork. He conceived and developed its central thesis that situation should be treated as a first-class computational primitive—distinct from events, state, context, and intent—together with the associated ideas of explicit situation representation, observer-relative meaning, situation memory, situation-centric cognition, and latent situation space.

This manifesto presents those ideas as an open research program and an invitation to build, test, challenge, and extend a new foundation for intelligent systems.

Canonical website: <https://situational-ai.org>

Author: Prasad Pillai

Attribution: Author and Principal Architect of the Situational AI Framework; Founder, BotsWork

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AI-Assisted Production Disclosure

The original concepts, arguments, distinctions, and intellectual direction presented in this manifesto were conceived and developed by Prasad Pillai. AI-assisted productivity tools were used to support drafting, organization, editing, and document production. Prasad Pillai directed the work, reviewed the resulting text, and accepts responsibility for the final content.